

Social democracy

From the evolutionary socialism of reformists such as Bernstein (see [here](#)) emerged a movement that sought not to overthrow the capitalist system but to combine it with socialist policies to remove its injustices and inequalities. Rather than whole-scale state socialism, social democrats advocated state ownership of certain businesses, such as those providing public goods and services, and partially owning others in key industries. Other firms, although in private ownership, would be managed jointly by the shareholders and workers, and their operations strictly regulated by the government. A redistribution of wealth from rich to poor is achieved in social democracy through taxation, with the money raised being used to provide public services, subsidize state-owned enterprises and make welfare payments. Although rejected by both hardline communists and capitalists, the mixture of socialist and capitalist ideologies had great appeal, and social democrat parties of various sorts have been formed in most European countries.

